

Key Customers and Suppliers Relationship Overview - NVIDIA Corporation

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Executive Summary

NVIDIA Corporation (CIN: C0586842), headquartered at 2788 San Tomas Expressway, Santa Clara, CA 95051, USA, maintains a robust ecosystem of high-value customer and supplier relationships critical to its operational and financial stability. This document provides an in-depth analysis of these relationships, focusing on transactional patterns, contractual terms, and risk exposure for the fiscal year ending July 2026.

With a revenue base of \$26.974 billion and an EBITDA of \$10.26 billion, NVIDIA's business model is heavily reliant on a concentrated yet diversified portfolio of enterprise clients and semiconductor suppliers. The following sections detail the financial and operational dynamics of these relationships, aligned with the company's credit evaluation for a requested limit of \$500,000.

Customer Relationship Overview

NVIDIA's customer base is characterized by Fortune 500 technology and automotive firms, each contributing significantly to the company's revenue streams. The following table outlines the top customers, their industry segments, and estimated annual transaction values for FY 2026.

Customer Name	Industry	Estimated Annual Transaction Value (USD)	Credit Terms
Technologies Inc.	IT Hardware & Cloud Solutions	4,200,000,000	Net 60
.	Personal Computing & Printing	3,800,000,000	Net 45
o Group Limited	Computing & Smart Devices	3,500,000,000	Net 30
oft Corporation	Cloud & Enterprise Software	3,200,000,000	Net 60
n Web Services, Inc.	Cloud Computing & AI Services	2,900,000,000	Net 45
Inc.	Automotive & Energy	2,500,000,000	Net 90
nteractive Entertainment LLC	Gaming & Entertainment	1,800,000,000	Net 60

Supplier Relationship Overview

NVIDIA's supply chain is anchored by leading semiconductor manufacturers and equipment providers, ensuring access to cutting-edge fabrication technologies. The table below summarizes the primary suppliers, their contributions, and contractual terms for FY 2026.

	Industry	Estimated Annual Procurement Value (USD)	C
ctor Manufacturing Company Limited	Semiconductor Fabrication	8,500,000,000	Ne
cs Co., Ltd.	Memory & Display Technologies	4,200,000,000	Ne
	Memory Chips & Storage Solutions	3,800,000,000	Ne
	Lithography Equipment	3,500,000,000	Ne
nc.	Semiconductor Equipment	2,800,000,000	Ne
poration	Etch & Deposition Systems	2,200,000,000	Ne
ited	Semiconductor Production Equipment	1,900,000,000	Ne

Customer Concentration and Risk Assessment

NVIDIA's top three customers—Dell Technologies Inc., HP Inc., and Lenovo Group Limited—collectively account for approximately 43% of the company's total revenue. While this concentration reflects strong market positioning, it also introduces potential vulnerability to demand fluctuations in the IT hardware sector.

To mitigate risk, NVIDIA has diversified its customer base across cloud computing (Amazon Web Services, Microsoft), automotive (Tesla), and gaming (Sony Interactive Entertainment). Contractual safeguards, including minimum purchase commitments and advance payment clauses, further stabilize cash flows.

Historical data indicates a consistent payment track record from all major customers, with no instances of material defaults or extended payment delays in the past three fiscal years.

Supplier Dependency and Supply Chain Resilience

NVIDIA's reliance on Taiwan Semiconductor Manufacturing Company (TSMC) for advanced node fabrication represents a critical dependency, with TSMC accounting for over 60% of NVIDIA's semiconductor procurement spend. This concentration is offset by long-term supply agreements, dual-sourcing strategies for non-critical components, and strategic inventory buffers.

The company maintains secondary supplier relationships with Samsung Electronics and SK Hynix for memory chips, reducing exposure to single-source disruptions. Equipment suppliers such as ASML, Applied Materials, and Lam Research are subject to multi-year contracts with fixed pricing and volume commitments.

Supply chain resilience is further reinforced by NVIDIA's direct involvement in supplier capacity planning and its participation in industry consortia focused on semiconductor supply chain security.

Contractual Terms and Credit Policies

NVIDIA's standard credit terms for customers range from Net 30 to Net 90 days, with extended terms negotiated for high-volume clients such as Tesla (Net 90) and ASML (Net 120). Early payment discounts (1-2%) are offered to incentivize prompt settlements, though adoption remains limited due to the financial strength of counterparties.

For suppliers, NVIDIA leverages its procurement scale to secure favorable payment terms, with most agreements structured as Net 60 or Net 90. Key suppliers such as TSMC and ASML benefit from guaranteed volume commitments, which in turn provide NVIDIA with priority access to capacity during periods of industry-wide shortages.

All customer and supplier contracts include force majeure clauses, intellectual property protections, and dispute resolution mechanisms aligned with international arbitration standards.

Financial Impact and Working Capital Dynamics

The interplay between customer and supplier payment terms significantly influences NVIDIA's working capital cycle. With an average customer payment term of 55 days and an average supplier payment term of 70 days, the company maintains a positive cash conversion cycle, enhancing liquidity.

For FY 2026, NVIDIA's accounts receivable turnover ratio is projected at 6.2x, while the accounts payable turnover ratio stands at 4.8x. These metrics reflect efficient receivables collection and strategic utilization of trade credit, contributing to the company's strong net worth of \$28.75 billion.

The requested credit limit of \$500,000 represents less than 0.2% of NVIDIA's annual revenue and is fully supported by the company's cash flow stability and diversified relationship portfolio.

Conclusion and Credit Considerations

NVIDIA Corporation's customer and supplier relationships are characterized by long-term strategic partnerships, financial robustness, and operational resilience. The company's ability to balance high-concentration risks with diversification, contractual safeguards, and supply chain redundancy underscores its creditworthiness.

The requested credit limit of \$500,000 is consistent with NVIDIA's financial profile, relationship stability, and working capital dynamics. No material risks have been identified that would adversely impact the company's ability to service this facility.